



L'OCCITANE / ID LOGISTICS PROPOSAL – ROUND 1

12 | 04 | 2022



AGENDA



- 01** ID Logistics presentation
- 02** Project overview
- 03** Real estate solution
- 04** Technical solution
- 05** HR strategy
- 06** Start-up approach
- 07** CSR approach
- 08** Commercial Assumptions & Conditions



01

ID LOGISTICS PRESENTATION

L'OCCITANE PROJECT STAKES

EXECUTIVE SUMMARY

KEY EXPECTATIONS

- One **trusted LSP** for warehousing activities, building a long-term partnership across multiple brands for North American operation
- Solid and peaceful organization** to ensure continuity of the business
- Flexibility of space and people** to follow seasonality and growth
- International** partner with **full expertise** in HAB and Retail business

A SUPPLY CHAIN FOR FUTURE

ID LOGISTICS COMMITMENTS

- Inclusive**, yet independent **warehousing offer** with added value services
- Strong technical solution based on **know-how** and **innovation**
- Tailor made real estate solution** with mutualized teams & depreciation costs
- An independent company with a **long-term vision**

EXECUTIVE SUMMARY

Why ID Logistics is the right partner ?

A partner to secure the project

- A strong footprint in Luxury, fragrance and cosmetics brands
- An identified and dedicated team of experts
- A project without impact for L'OCCITANE's business

A technical solution with added value for L'OCCITANE

- A flexible technical solution
- A strong evolutivity
- An improvement of service levels

A commitment on budget and improvement plan

- A commitment on a competitive budget, detailed over multiple years
- A neutralized relocation and project costs
- A commitment to accompany L'OCCITANE with an improvement plan

STRENGTHS OF THE IDL COMMERCIAL OFFER

AN ADAPTED, COMPLETE AND COMPETITIVE OFFER MEETING L'OCCITANE'S CHALLENGES FOR THE USA SITE



A robust technical solution for perfect management of a complex site

ID Logistics masters the challenges of managing a complex site and has built a robust technical solution based on **a sectorised layout** and **optimised implementation, real flow management and adapted tools**



Functional innovations for a forward-looking site

Proven and reliable innovations and reliable innovations for L'Occitane's business to provide: **quality of service, ergonomics at the workstation & a forward-looking solution**



An end-to-end IT solution to manage flows with interconnected tools

ID Logistics integrates a set of **interconnected IT tools** enabling to **manage all transport and logistics operations** and to steer the activity from A to Z



A genuine CSR approach

In addition to **health and safety** standards, ID Logistics' offer integrates various solutions to make the L'Occitane site a **best-in-class** in this area



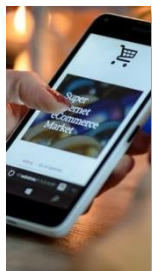
Strategy for a seamless start

ID Logistics will rely on a **proven methodology**, a **strong presence in the region** and a perfect **mastery of the employment area** to guarantee a seamless start-up

IDL's experience with L'Occitane in France will provide the groundwork for an effective and efficient start-up

GLOBAL EXPERTISE

E-COMMERCE



NON FOOD RETAIL



HIGH-TECH



CPG



FOOD RETAIL



INDUSTRY



FASHION



FRAGRANCE & COSMETICS



HEALTHCARE



ID LOGISTICS IN THE USA

FOOTPRINT

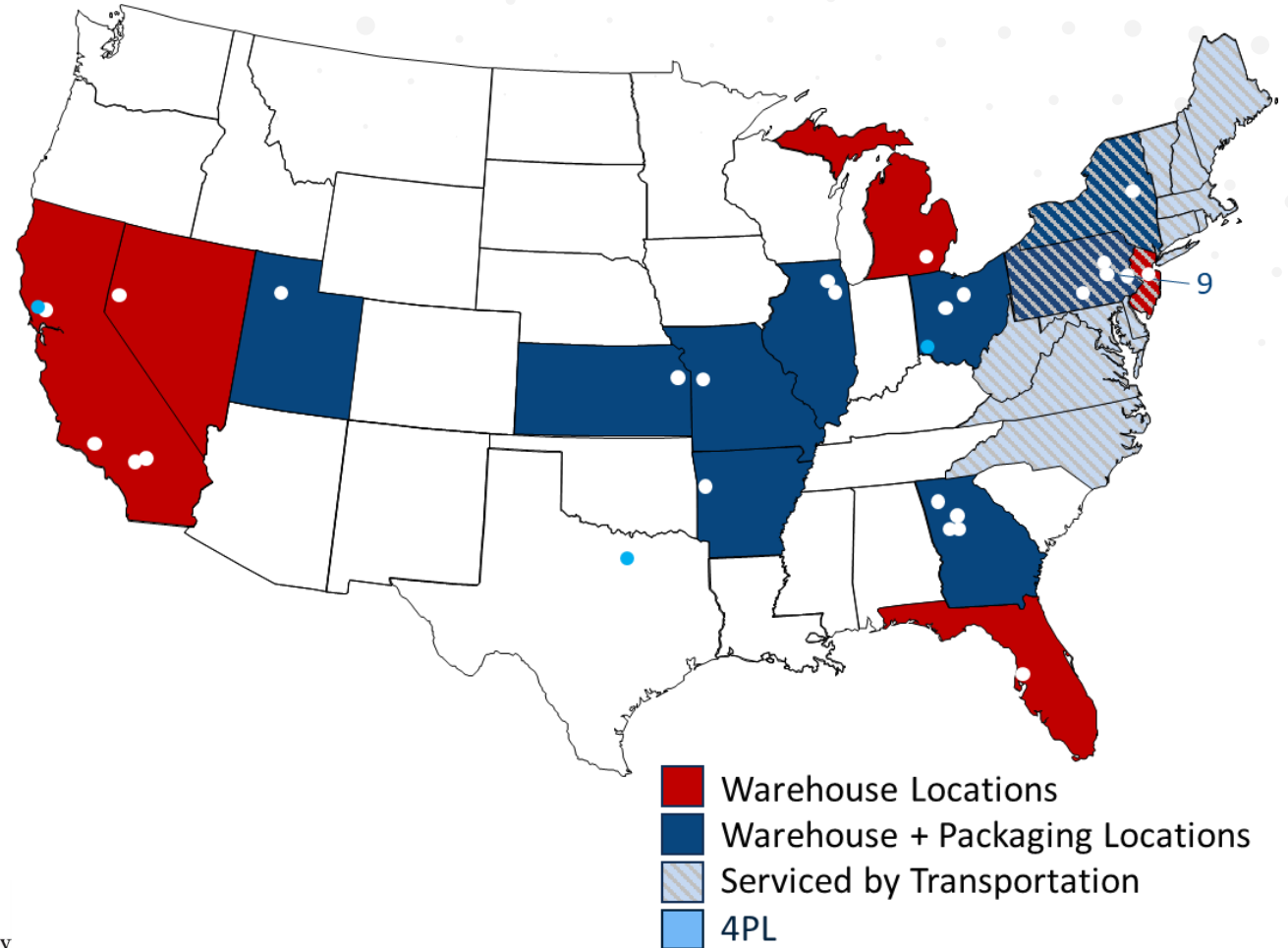
9,700,000 Sq Ft
3,500+ Associates
32 sites

Growth by Strategic Acquisitions in 2019 and 2022

- Operating in US since 1930

Solutions

- Warehousing
- E-Commerce / D2C
- B2B & Retail Distribution
- Contract Packaging & VAS
- Transportation



ID LOGISTICS EXPERTISE & KNOW HOW



Our assets to support L'OCCITANE in its project

1

Our know-how in cosmetics and luxury fragrances

2

Cosmetics Business cases : supporting the growth and evolutions of our clients

3

A strong expertise in E-commerce and retail

4

A strong expertise in omnichannel activities

5

A robust experience in cosmetics value added services

ID LOGISTICS EXPERTISE & KNOW HOW

Our know-how in luxury fragrances and cosmetics



Processes with the following requirements

- Batch / lot numbers traceability
- Specific lot number picking
- Grey market tracking
- Fresh references
- Labeling at the date number
- Temperature and hygrometry measurement



ID LOGISTICS EXPERTISE & KNOW HOW

A robust experience in value added services

Added Value Services

Gift Packs
Promotional stickers
Adding a gift



Customized cards



Copacking



Products engraving



Experience ID Logistics in Cosmetics sector





02 PROJECT OVERVIEW

L'OCCITANE BACKGROUND

L'Occitane, is a French luxury retailer of body, face, hair, fragrances, and home products based in Manosque, France. Founded in 1976 by Olivier Baussan, with the purpose to create a company that celebrates and preserves the traditions of his native Provence

- Founded in 1976 by Olivier Baussan
- Publicly listed in 2010
- Deployed in more than 90 countries around the world
- Leading brands include L'Occitane En Provence, Melvita, Elemis, Sol De Janeiro, and more



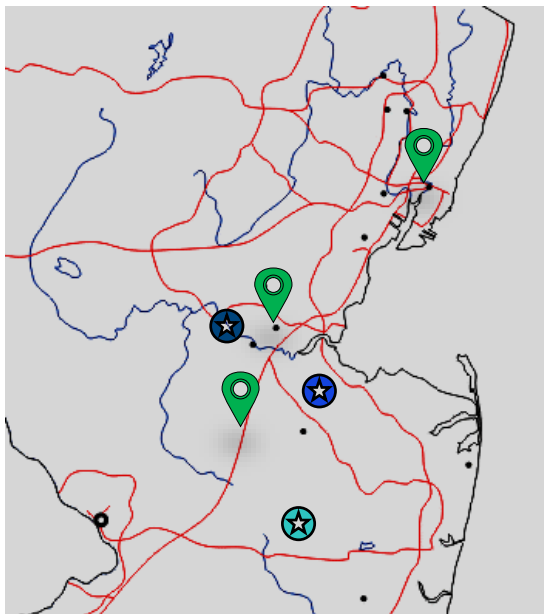
UNDERSTAND L'OCCITANE NEEDS AND EXPECTATIONS

SCOPE OF THE PROJECT

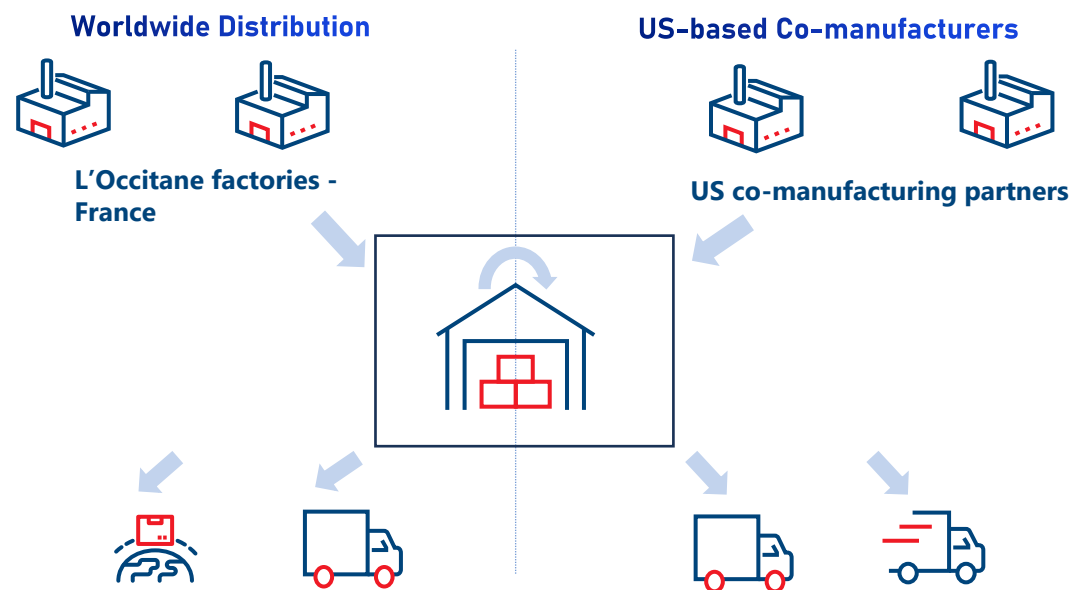
L'Occitane is targeting a single site near the NJ port or in the Midwest to manage their North American brands for eCommerce, B2B, Kitting, and VAS solutions with the ability to handle seasonality and aggressive growth goals over the next 5 years

PREFERRED LOCATION

-  Current Operations
-  Target 1A
Somerset, NJ
-  Target 1B
Sayerville, NJ
-  Market Example
25 Miles farther SE than
Dayton, NJ



ACTIVITIES FLOW



PREFERRED START DATE:
from Q3 2023 for the initial activity
July '24 for the complete activity



03

REAL ESTATE SOLUTIONS

SEARCH & SELECTION

ID Logistics has selected buildings adapted to the needs of L'Occitane located in New Jersey & Columbus, OH

Summary of the need



Building with a minimum area of 300K sq ft.



Locations near the New Jersey port and current L'Occitane operations or Midwest based warehouse operation (IDL selected Columbus, OH)



Available for start-up in July/Aug 2023*

* Initial takeover of current 3PL operations in '23 & takeover of L'Occitane operation at end of customer lease in July '24

Port of New Jersey (Preferred location)

300K – 350K square feet

Procurement of full building with launch in 2023 and remaining operation takeover in July '24



Columbus, OH (Secondary location)

300K – 350K square feet

Same layout and operation as NJ, with secondary focus on Columbus, OH based on strategic location, real estate availability, and cost

PRESENTATION OF THE NJ SITE

SOLUTION #1/ 1A OVERVIEW

350,000 sq ft

Total developed area

350,000 sq. ft.

Warehouse

~8,300 sq. ft.

Offices / social premises

250 sq. ft.

Technical / load rooms

Dedicated facilities Customer

50+ platforms

2 level access

36' + Clear

Useful height

Sprinkler ESFR, RIA

Fire

225+

Parking for cars

50+

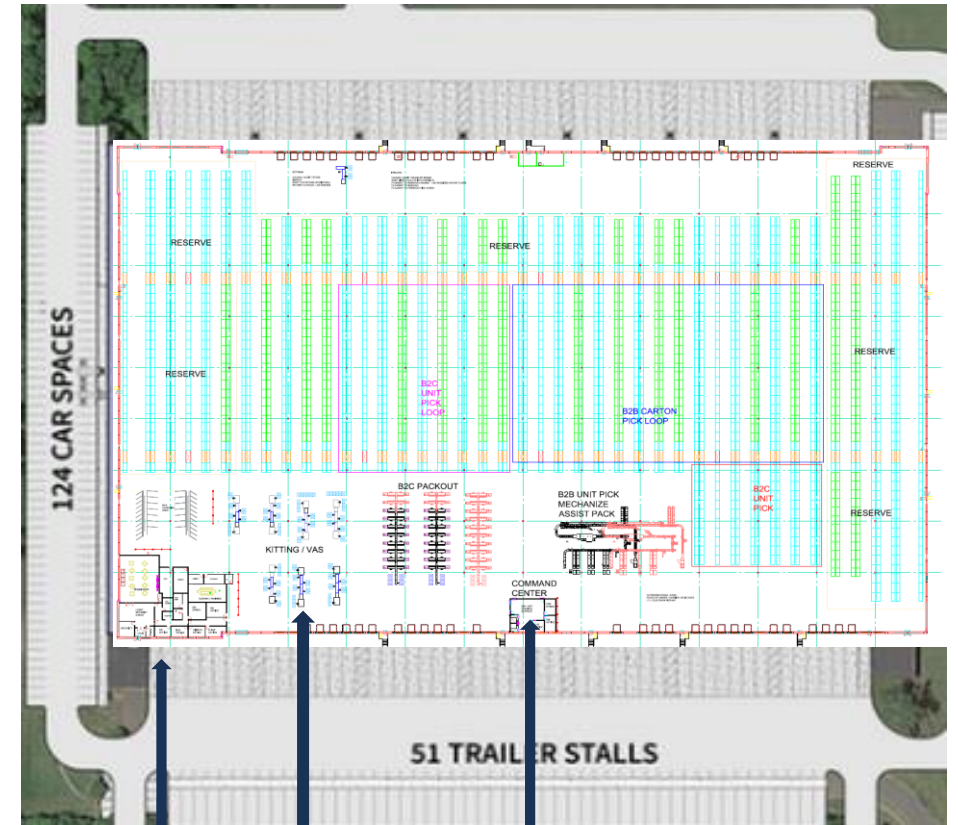
Truck parking

LED

Lighting

Warehouse equipped with LEDs & new floor tiles

ADDRESS
Somerset, NJ / Sayerville, NJ



Entrance
Office

Kitting/
VAS

B2B/B2C
COMMAND
CENTER

PRESENTATION OF THE OH SITE

FOR CONSIDERATION

374,000 sq ft

Total developed area

374,000 sq. ft.

Warehouse

~8,300 sq. ft.

Offices / social premises

250 sq. ft.

Technical / load rooms

Dedicated facilities Customer

60+ platforms

2 level access

36' + Clear

Useful height

Sprinkler ESFR, RIA

Fire

225+

Parking for cars

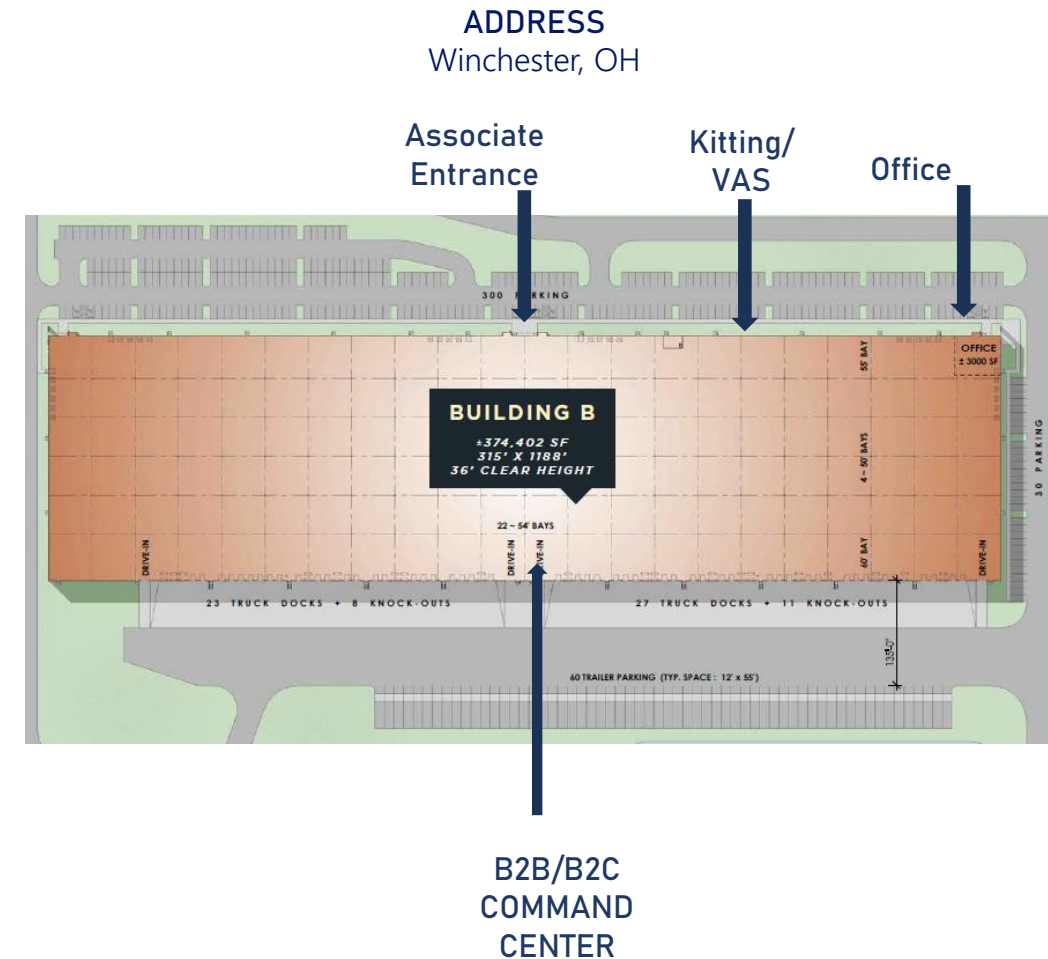
50+

Truck parking

LED

Lighting

Warehouse equipped with LEDs & new floor tiles



THE SOLUTIONS

SUMMARY

CONSIDERATIONS

LOCATION

SURFACE

COST FT² & BUDGET

AVAILABILITY

COMMITMENT

NJ PORT



COLUMBUS



	Somerset, NJ	Sayerville, NJ	Jersey City, NJ	Jackson, NJ	Winchester, OH
Available SF	355,790	341,833	332,640	384,377	374,000
Rentable SF	355,790	341,833	332,640	384,377	374,000
Clear Height	40'	40'	40'	40'	36'
Docks	60	50	66	56	60
Car Parking	224	382	225	293	325
Sprinkler	ESFR	ESFR	ESFR	ESFR	ESFR
Year Built	2022	2023	2022	2023	2023
Available	Q1 2023	Q4 2023	Q1 2023	Q1 2023	Q4 2023
Asking Rate on Market	\$17.50	\$17.85	\$26.00	\$14.25	\$6.75
Op Ex	\$2.20	\$3.00	\$3.00	\$3.00	\$1.50
Comment	1A	1B	Wages 4% higher	25+ Miles SE of Dayton, NJ	Midwest



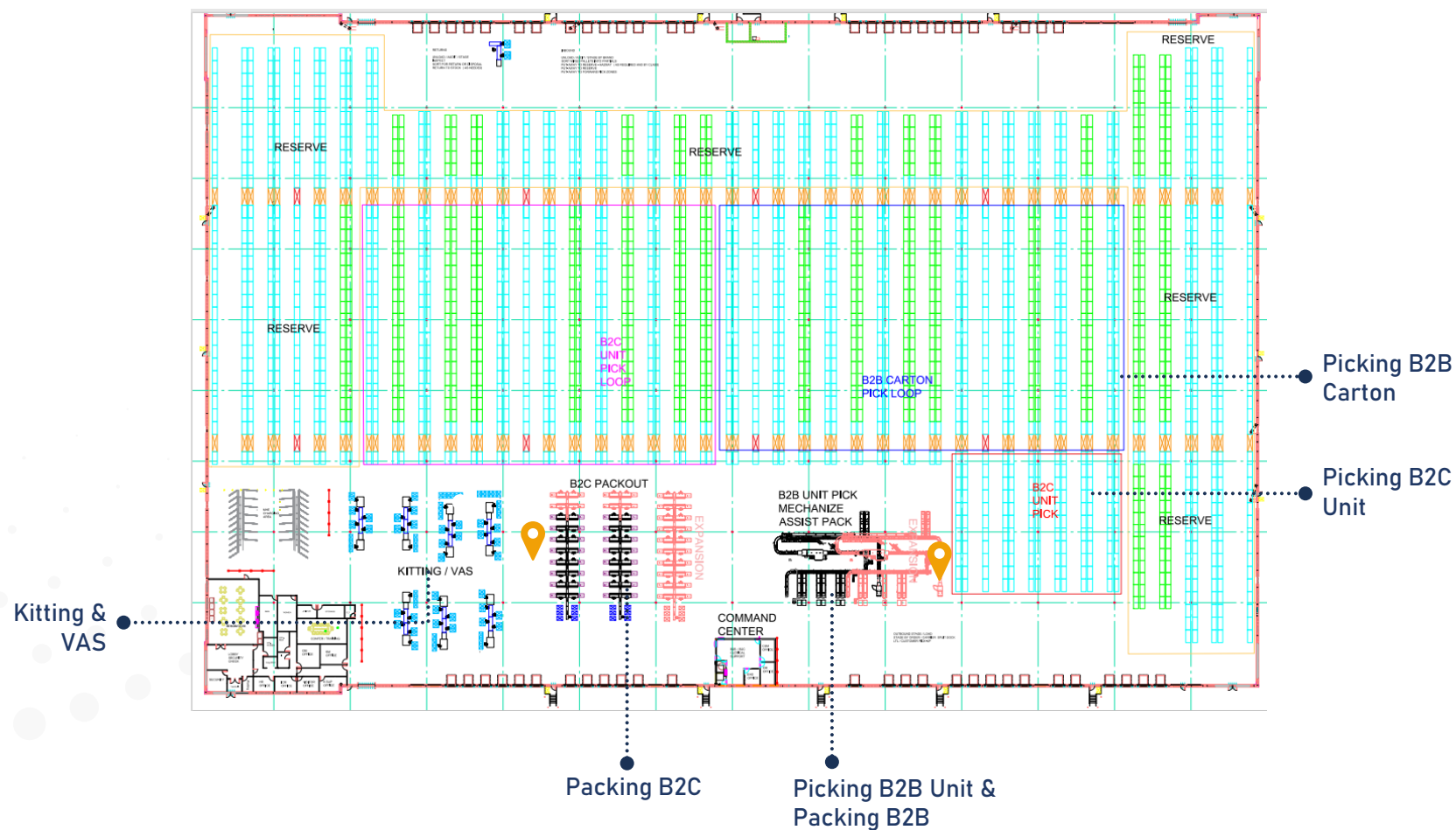
KEY INFORMATION

The ID Logistics offer is based on the NJ location, with the Columbus, OH site remaining a suitable alternative



04 TECHNICAL SOLUTION

OVERVIEW OF THE LAYOUT



Picking B2B

Shelves



Flow racks



Pallet



Picking B2C

Shelves



Flow racks



Pallet



Other

Pallet locations



Kitting Area



Docks



PICKING LOCATIONS

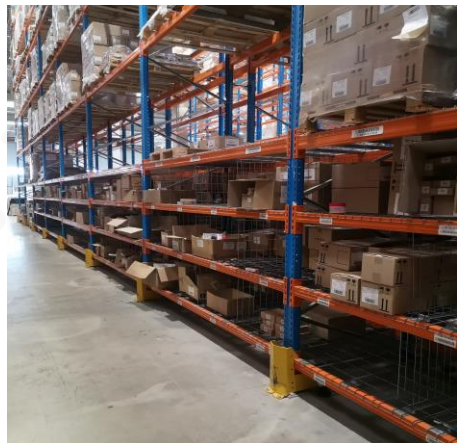
Pallet location



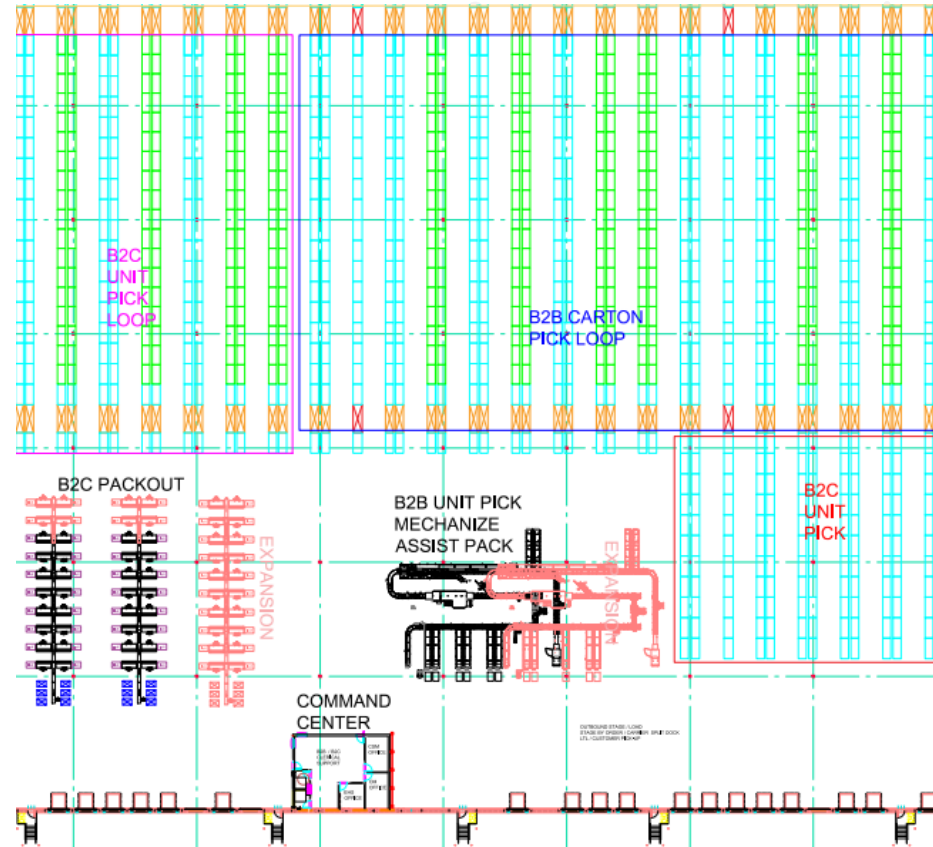
Flowracks



Shelves type 1



Shelves type 2



Picking way organization

Parcel picking

- Brands are mixed in the picking way to avoid picking error : Elemis cartons are all the same

Each picking

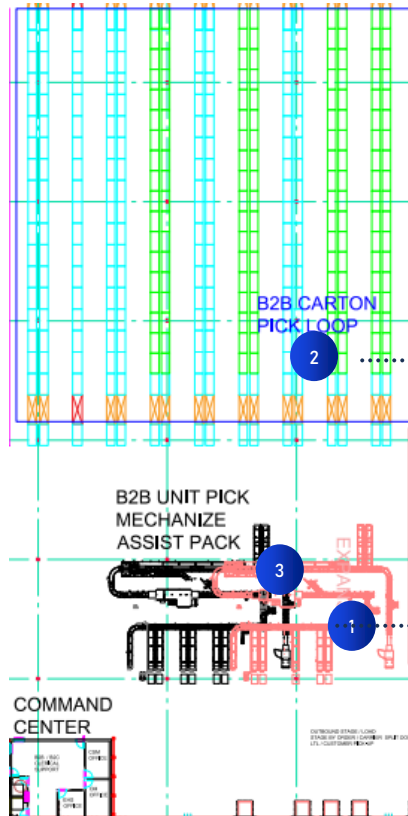
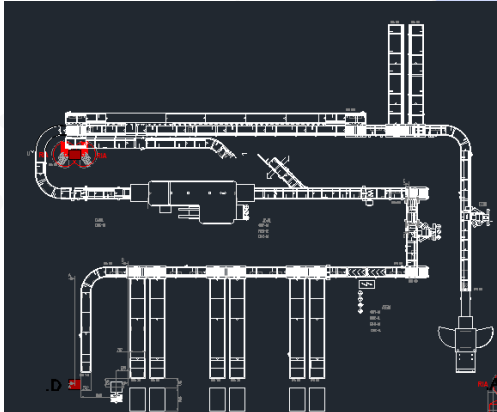
- Picking way are organized by brand to optimize the picking way

PROCESS B2B

EACH PICKING

3 End-of line

- Delivery note in the last parcel of the order
- 4% random control
- Automatic photo shooting of each parcel
- Dunning
- Automatic carton height reduction and closing
- Transport Labelling
- Sorting

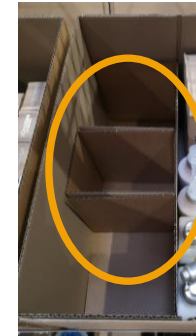
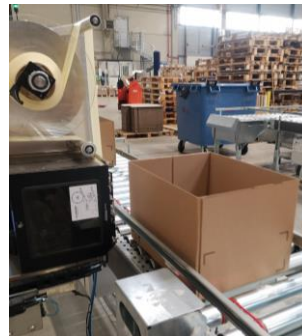


2 Multi-Order picking



- Trolley Put-To-Light
- 16 orders per mission

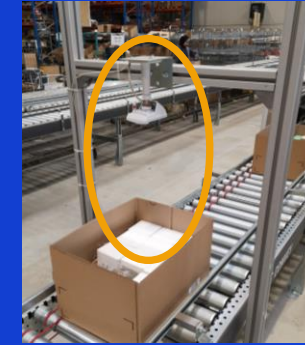
1 Carton erection + labelling



- Automatic carton erection
- Automatic labelling
- Cardboards inserts

Focus end-of-line

Automatic photo shooting



Grinding inbound cardboard for dunnage

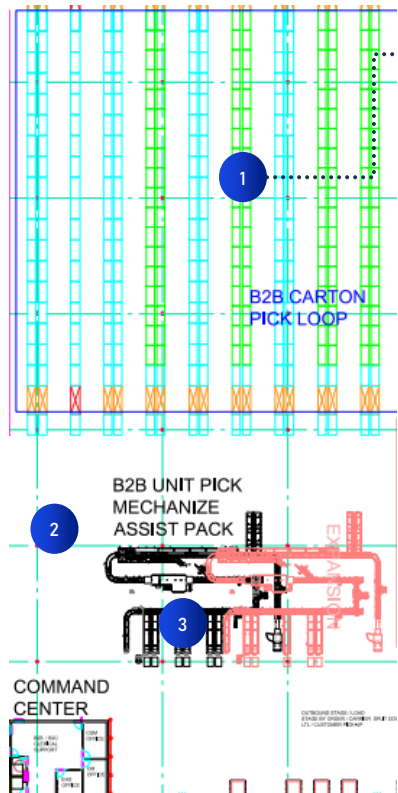


Automatic height reduction and closing



PROCESS B2B

PARCEL PICKING



1 Picking in racks

- 2 types of preparation :
 - Mono-order : 1 order per pallet
 - Multi-order : Several orders/pal



2 Customer Specifies

- Several customer specifies can be managed :
 - Language relabelling (Kitting area)
 - Fill-up vendor web portal (AMZ, TGH...). In that case pallets are drop in a staging area
 - ...

3 Consolidation Mono-order pallets

- After preparation, mono-order pallets are sent in the sorting area to be completed with each parcels

3 Loading

- After preparation, mono-order pallets are sent in the sorting area to be completed with each parcels



Customer Specifies



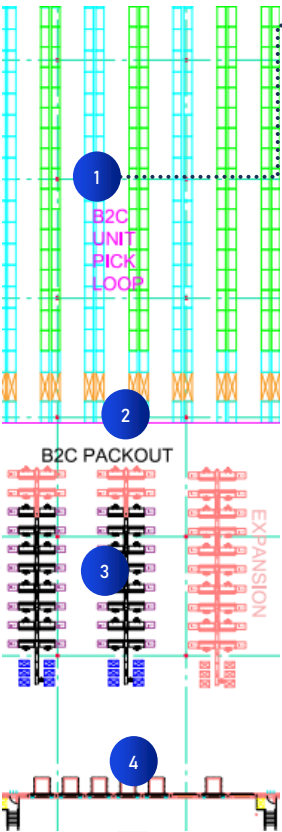
- To facilitate management of customer specifies on the floor, color stickers are glued on carton or pallets that required specific attention
- 13 different colors



- ASN for Amazon orders are stuck on each carton after filling the vendor portal

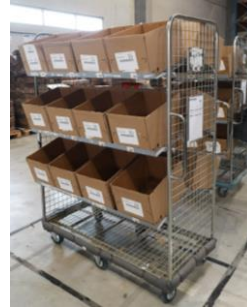
PROCESS B2C

PICK AND PACK



1 Picking per order

- Picking order per order with a trolley
- 24 orders per trolley
- Validation of each unit picked by scan



2 Unsellable products picking

- Samples and other unsellable products are picked as a product at the end of picking way

3 Packing

- Orders are packed on stations
- Personalization are done at this stage (gift card...)



Customized gift card



4 Loading

- Pallets wrapped by different colors : a visual help to insure on-time loading



Packing know-how

- Different packing supplies are used depending on the brand



KITTING

OUR KNOW-HOW

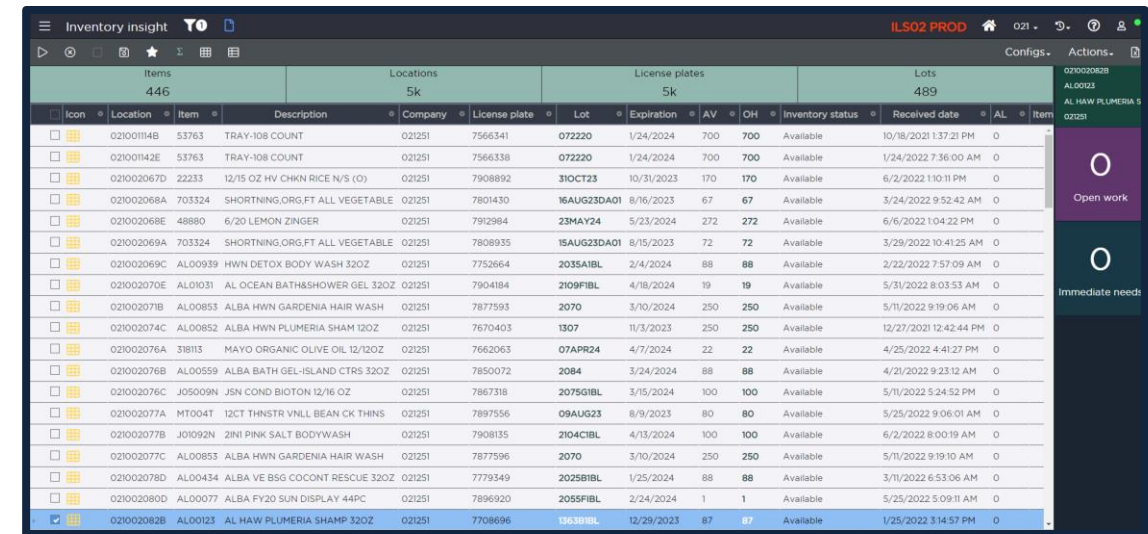
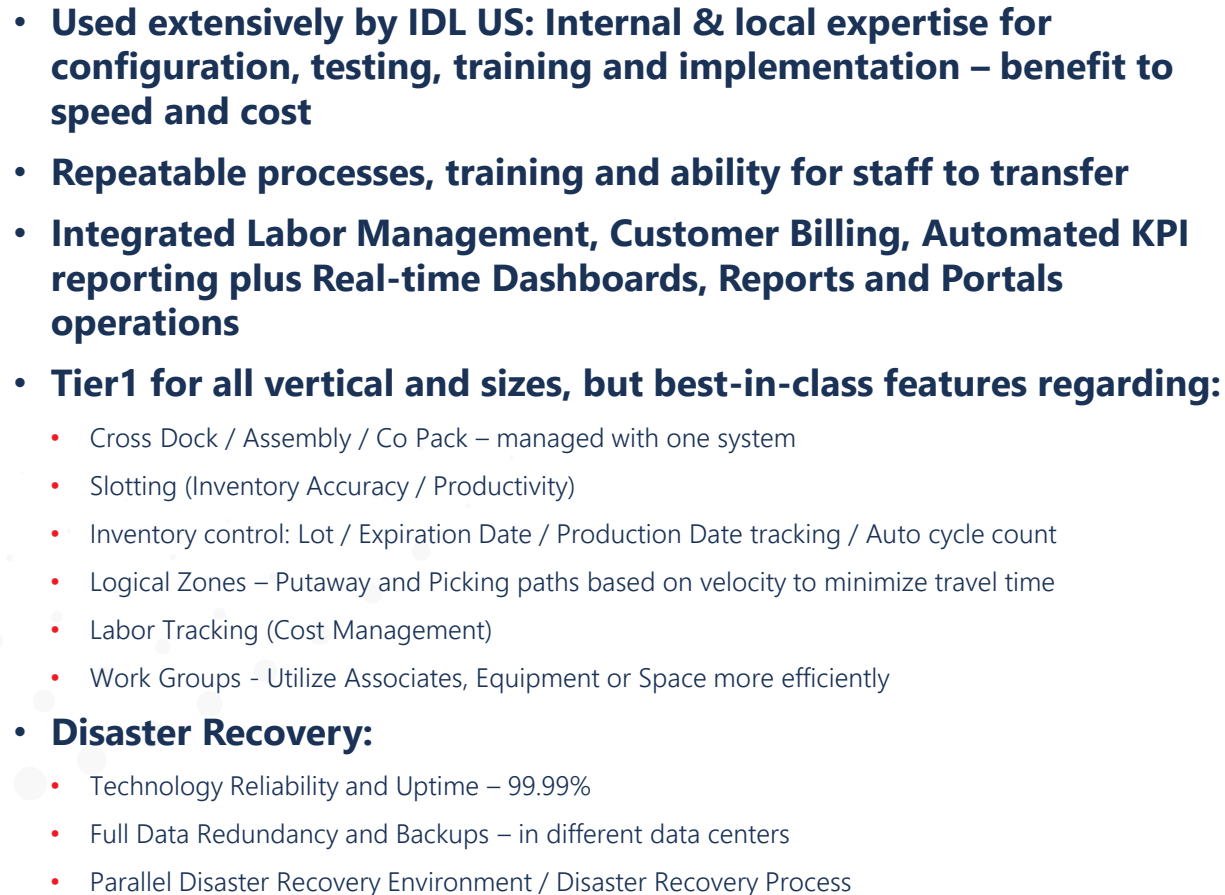


L'Occitane Kit



Language relabelling

MANHATTAN SCALE 2019



ORGANIZATION CHART

OPERATING STAFF

MANAGEMENT	1	GENERAL MANAGER											
	1	EHS MANAGER											
	1	INDUSTRIAL ENGINEER/ CI LEAD / KPI MANAGER											
	1	HR SPECIALIST											
	1	INVENTORY CONTROL MANAGER											
	1	OPERATIONS MANAGER											
	1	KITTING MANAGER											
	1	CUSTOMER SERVICE MANAGER											
SUPERVISOR(S)	6												
		KITTING SUPERVISOR(S)	2	INBOUND	0	B2B SUPERVISOR(S)	2	B2C SUPERVISOR(S)	2				
INDIRECT LABOR	22.1	LEAD(S)	2	LEAD(S) (FLOOR/IC)	1	LEAD(S) (FLOOR/IC)	3.4	LEAD(S) (FLOOR/IC)	3.7				
		CSR/ ADMIN	1	CSR/ ADMIN	1	CSR/ ADMIN	3	CSR/ ADMIN	3				
				INV. CYCLE COUNTER(S)	0.5	INV. CYCLE COUNTER(S)	1.0	INV. CYCLE COUNTER(S)	0.5				
				HAZMAT/ QA SPECIALIST	0.25	HAZMAT/ QA SPECIALIST	0.25	HAZMAT/ QA SPECIALIST	0.50				
		MAINTENANCE	0.25			MAINTENANCE	0.75						
DIRECT LABOR	173.6	KITTING	49.0	INBOUND	5.5	B2B	47.7	B2C	71.4				
		LIFT OPERATOR	1.0	UNLOAD/ PUT-AWAY	3.3	REPLEN	6.4	REPLEN	5.0				
		LINE LEADS	3.0	GENERAL WAREHOUSE	2.2	PICKING	30.7	PICKING	20.8				
		QA	2.0			PACKING	8.1	PACKING	40.8				
		PACKER(S)	43.0			LOADING	2.5	LOADING	4.8				



05

HR STRATEGY

ID LOGISTICS COMMITMENTS

SETTING AMBITIOUS HR TARGETS

HEALTH AND SAFETY

Target: Frequency rate < 30

Target: Severity rate < 1

STAFFING

Internal staffing: **100%** of management and **30%** of new operators

External staffing: **70%** permanent contracts for new permanent jobs

INCLUSION

6% of our operators are recognised as disabled workers

10% of our operators come from reintegration programmes



MANAGEMENT RECRUITMENT STRATEGY

A 3-PILLAR RECRUITMENT STRATEGY

CONTEXT

Because the logistics **market is fast-growing**, there is an important demand on logistics managers

ID LOGISTICS APPROACH

Anticipation with specialized Head Hunting in order to create a **pool of local experts**, supported by existing experts in the ID Logistics team + support from existing L'Occitane facilities

1

Head Hunting recruitment

- **Early recruitment** & on-board of management team
- People specialized in large **omnichannel** facilities already identified

2

Training in existing IDL/L'Occitane Warehouse

- **Training sessions** will be set up in ID Logistics DC for MediaMarkt
- Training modules include also **"real life" testing** and validation phases

3

European Team (experts from L'Occitane)

- After training, **our European Team will duplicate each key functions** with a senior IDL manager from L'Occitane activities to accompany the local management team.

THE INTEGRATION PLAN FOR NEW EMPLOYEES

A training plan has been drawn up for each **profession** carried out within the establishments managed by ID Logistics.

Order picker

HACCP

Loader/unloader CACES 3

Loader/unloader CACES 1

In order to make employees quickly effective, **operational training** is also provided.

Use of voice picking

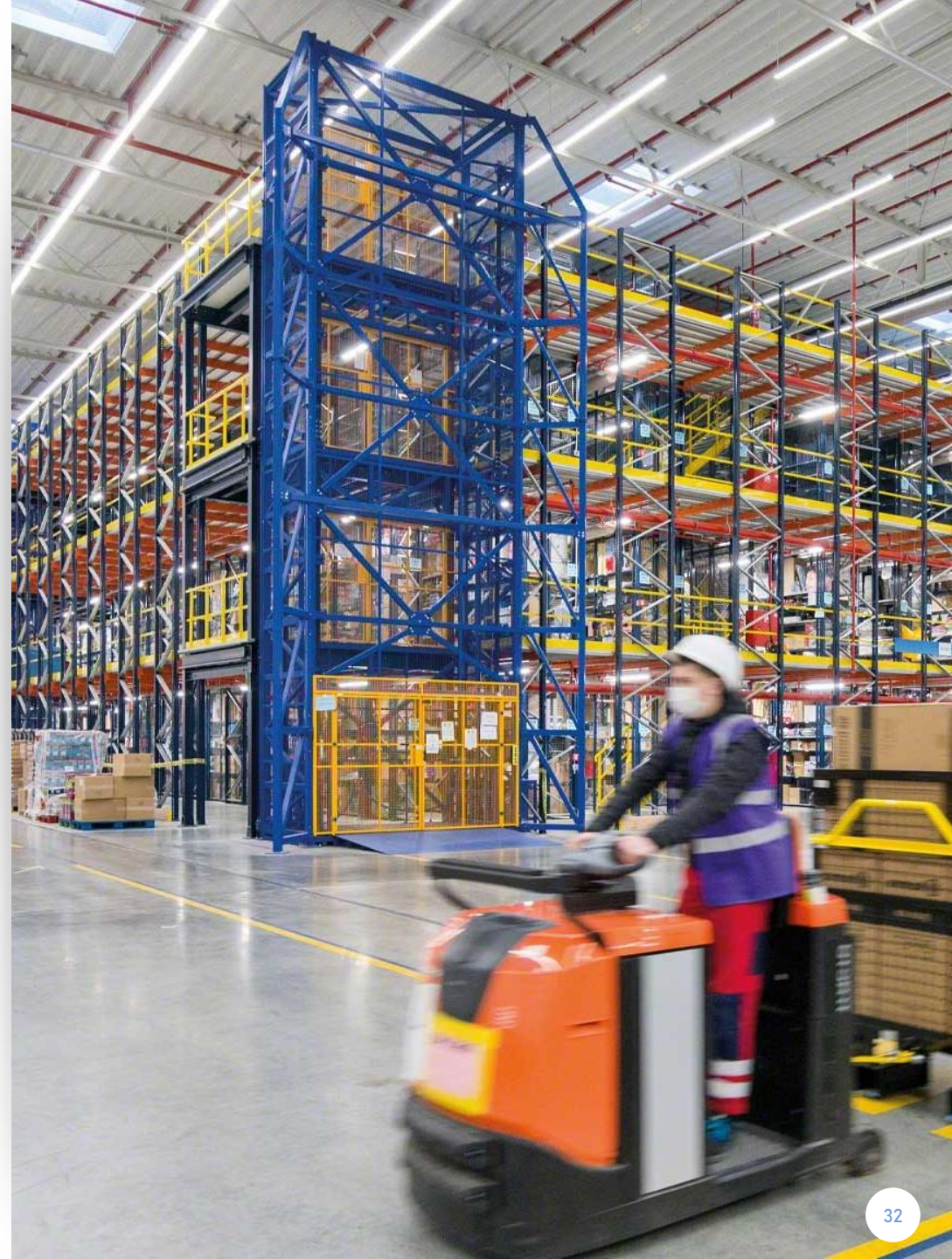
Driving a forklift

Pallet assembly and wrapping

Good Hygiene Practices

Use of IT equipment

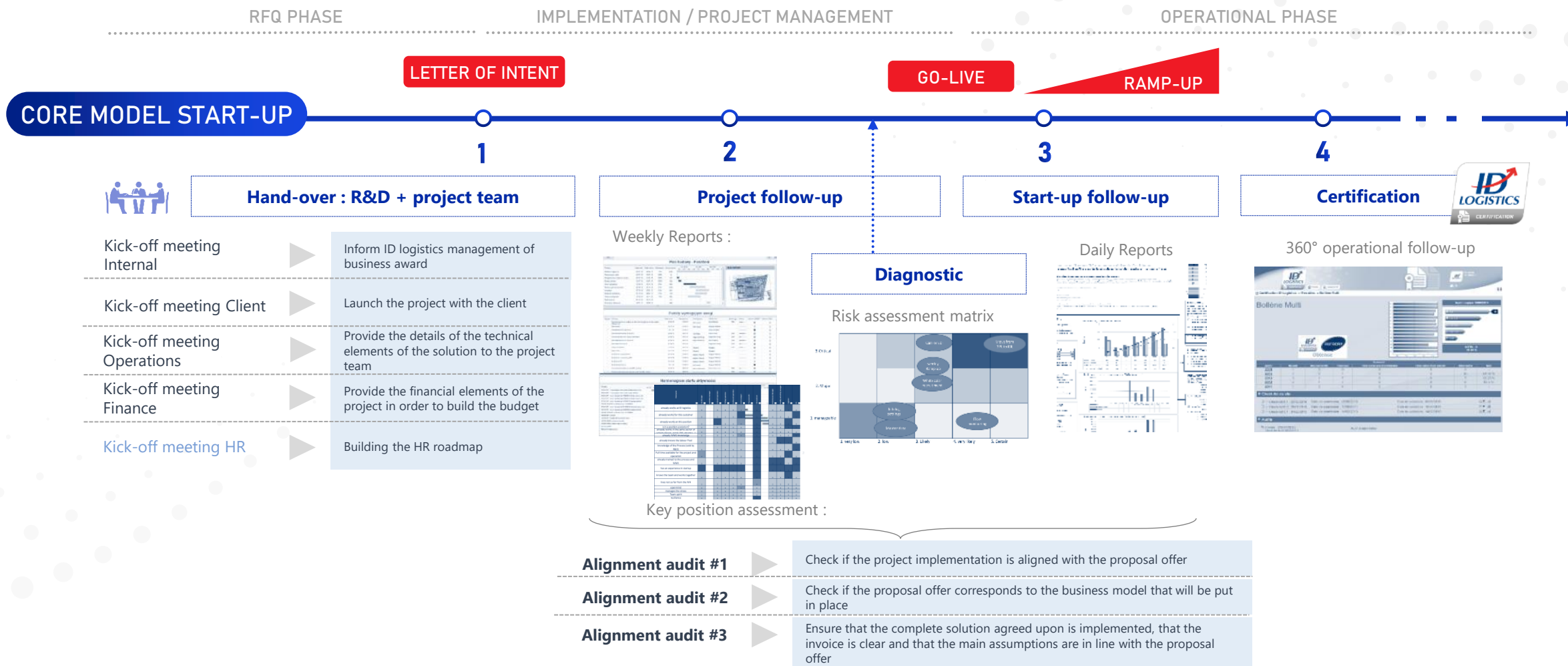
Organisation of work



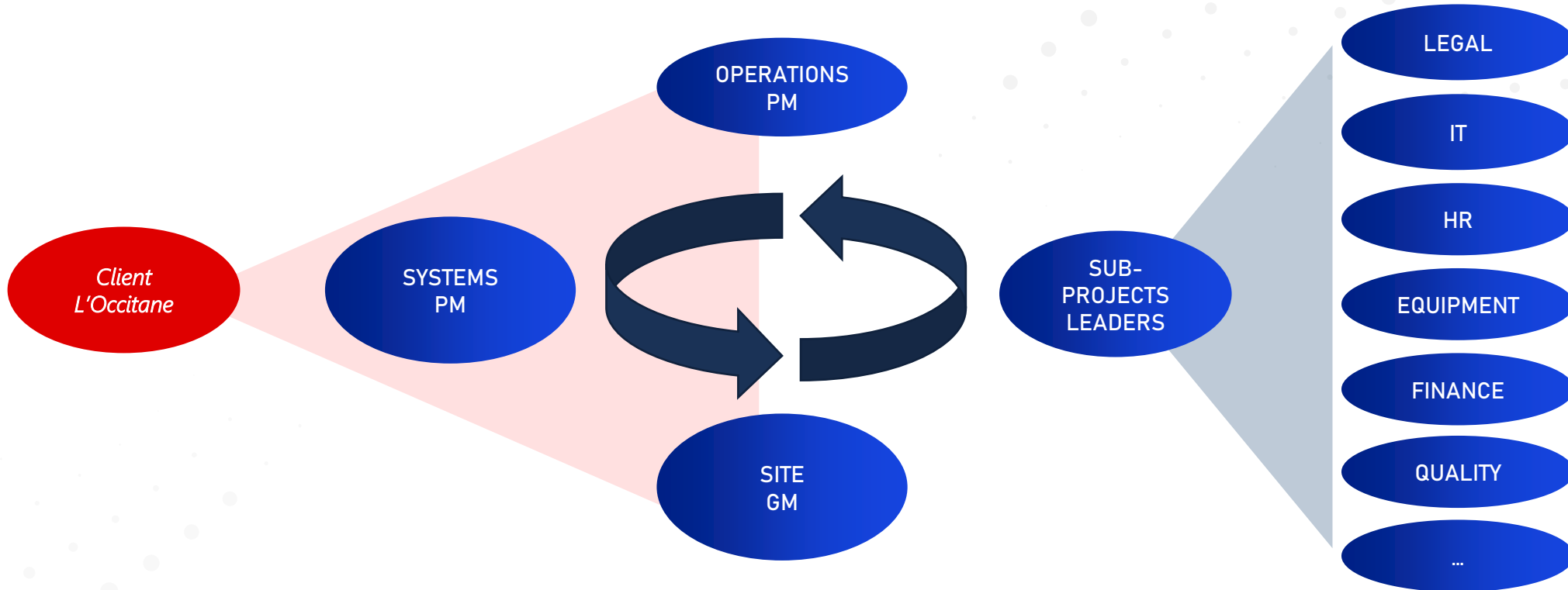


06 START-UP APPROACH

A PROVEN GO-LIVE METHODOLOGY



CORE PROJECT TEAM



- Operations project manager: coordinate all sub-projects, main interface with the client for operations topics
- Systems project manager: in charge of the WMS / TMS / others systems implementation
- Site general manager: site deployment, team hiring

SUPPORT - IMPLEMENTATION

PROJECT MANAGEMENT



Franck Putzka
Projects Director, US



Gretchen Ott
Operations Project Manager



Sujit Vora
Sr. Dir. Business Development

PROJECT OPERATIONAL



Patrick Coughlin
COO



Eddie McHenry
VP Operations



John Ross
Sr. Director, Engineering

Sub-project Leaders

Experts in their field to support the project during the start-up phase & ongoing

IT

Jim McMurphy
Chief Technology Officer

Robert Sedacca
Sr. Director - IT

LEGAL

Kristi Pallen
General Counsel

EQUIPMENT

Donna Fedorka
Director, Purchasing

QHSE

Laura Cumbie
Director, Quality & Food Safety

HR

Amy Wren
Chief People Officer

FINANCE

Melissa Doherty
Controller



Several members of the project team have experience of **L'Occitane** activity

SUPPORT - IMPLEMENTATION

L'Occitane Site (NJ or OH) - Implementation Project Plan		L'Occitane	IDL	MONTH 1	MONTH 2	MONTH 3	MONTH 4	MONTH 5	MONTH 6	MONTH 7	MONTH 8	MONTH 9	MONTH 10	MONTH 11
IMPLEMENTATION TIMELINE														
Bid Award	IDL Awarded													
	Commercial Agreement													
	Service Level Agreements													
Real Estate Solution	Lease Agreement													
	Finalize Tenant Improve Plans & Requirements													
IT Solution Development	WMS Implementation and Project Team Established													
	Implementation Governance													
	Implementation Timeline Developed													
	IT - EDI Development													
	IT - WMS Infrastructure													
	IT- Testing													
	IT - Dashboard & Reporting Development													
Process & Solutions Development	IT - Ramp Up / Go Live - Systems Support													
	L'Occitane & ID Logistics Process Understanding / Alignment - Current vs. Future State Road Map													
	PFMEA Development & Signoff													
	Warehouse Racking Installation													
	Complete Tenant Improvements													
HR Solutions & Development	Operational Equipment Set Up (Packing Stations, Bin Shelving, Stretch Wrap Machines, etc.)													
	Equipment Testing and Standard Work Creation													
	Site Management Hiring Phase 1													
	Site Management Hiring Phase 2													
GO-Live	Site Management Hiring Phase 3													
	Team Leader Onboarding & Training													
	Inbound Go-Live													
	Go Live - 70% Productivity													
	Ramp Up - 80% Productivity													
	Ramp Up - 90% Productivity													
	Steady State - 100% Productivity													
	Full Site Steady State Sign Off													

Indirect Hiring Phases
Phase One - 4 Weeks Prior
 Incremental Management

Phase Two – 2 Weeks Prior
 Team Leads
 Supervisors
 Coordinators
 Cycle Counter

Go-Live Strategy to meet 100% of
 Customer Requirements

IDL suggest a min of 6-7 MONTHS for
 implementation in facility

**IDL encourages an award by January
 to have proper time to
 accommodate/enhance building**

LAUNCH TEAM APPROACH

YOUR BENEFITS

Interdisciplinary Launch Teams Providing an interdisciplinary launch teams as a holistic approach for successful implementation	Wealth of experience A maximum wealth of experience through selected, individual composition of the launch support	Tools and standardization ensures best practices Continuous improvement of tools and standardization ensures best practices for ramp-ups
Defined acceptance criteria Providing and handover of operative business to operations after reaching defined acceptance criteria	Risk assessment Risk assessment as a central instrument of launch management ensures management awareness	Established standard procedures Support launch by using established standard procedures developed as corporate implementation and launch methods and transfer to certification standards

+ 25%



Increase
in new customer satisfaction by
over 25%

+ 30%



Shorten
the ramp-up from go-live to full
operations by up to 30%

+ 30%



Speed up
the learning curve by
up to 40%

CONTINUOUS IMPROVEMENT OF OPERATIONS

PROJECT DEFINITION MACRO PROCESS AND EXAMPLE OF PROJECT CARRIED OUT

Preparation:
Definition of the subject

Workshops :
Exchanges with the experts

Study:
Flow and process diagrams

ROI calculation

POC

Implementation

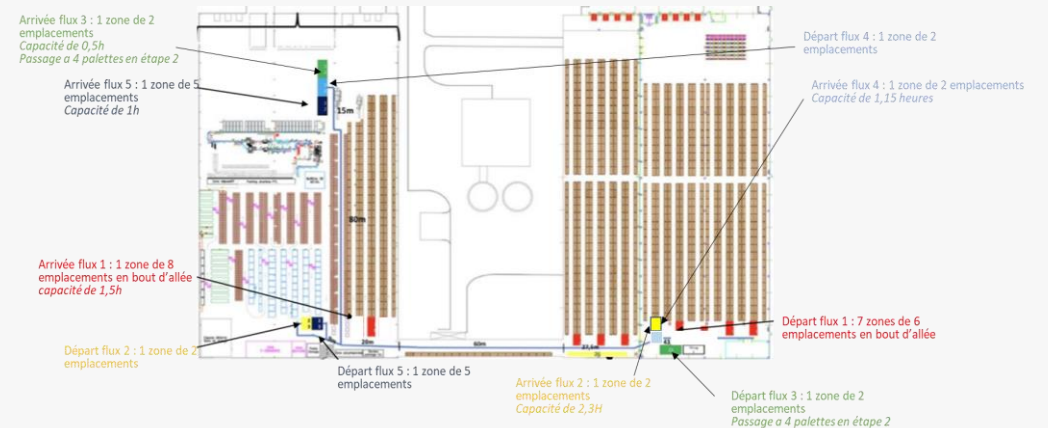
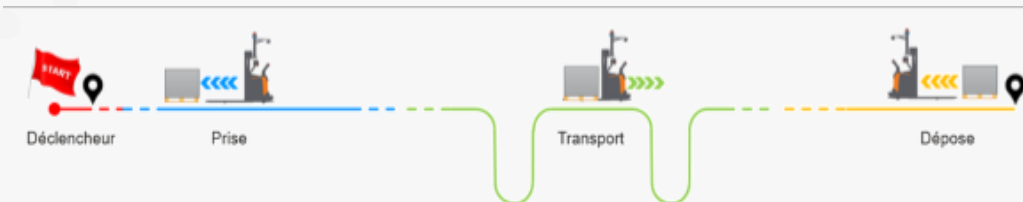
CUSTOMER / IDL
Decision-making
committee

Project example: implementation of AMR for rolling on the LVMH Beauvais site



- Automation of repetitive non-value added tasks
- Improved efficiency on these operations

Implementation of 2 AMRs
ROI: 50 months



ID LOGISTICS CERTIFICATION (CID)

A CERTIFICATION LABELLED EURACRP, PRAGMATIC AND ADAPTED TO YOUR BUSINESS



ID Logistics Certification is based on an internal reference system, adapted to our practices, our objectives and the specificities of our company.

OBJECTIVES



- Ensuring business continuity
- Improve site efficiency
- To take into account customer expectations
- To eliminate operational risks

APPROACH



- Mastering good managerial practices on all ID Logistics France sites
- 100% of ID employees participate in the quality policy
- Putting customers' requirements at the centre of our concerns
- Ensure the monitoring of KPIs

COMPONENTS



A certification that is broken down into **15 fundamental commitments** in 3 areas: HR, Management, Process and which **covers 80% of the items of the ISO 9001 standard**

ID LOGISTICS CERTIFICATION (CID)

A CERTIFICATION INCLUDING INTO 15 FUNDAMENTAL COMMITMENTS AND COVERS 80% OF THE ITEMS IN THE ISO 9001 STANDARD

HUMAN RESOURCES

- 1 - Staff receive training in safety and business processes
- 2 - Bonuses are set, monitored and enforced
- 3 - Staffing levels are planned for the week and checked daily
- 4 - The essential functions of a site are ensured even if the incumbent is unexpectedly absent
- 5 - Talents : The annual assessment interview is carried out for the operations manager, the GDS manager, the department managers, the team leaders and the reporting assistant. The professional interview for all IDL employees

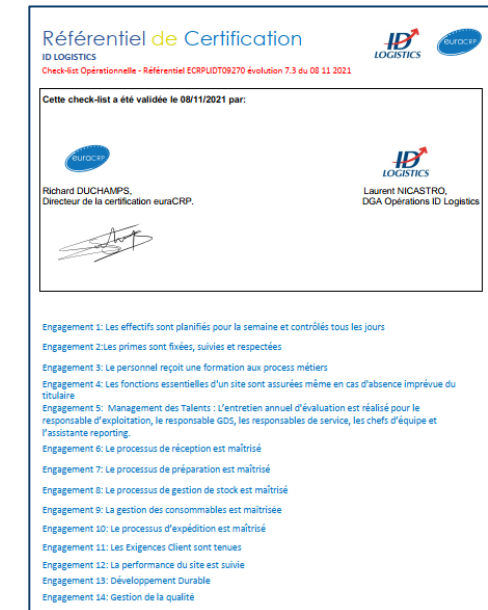
- The CID is awarded by a Certification Committee composed of the ID Logistics CEO, Customers and external consultants
- The CID is audited by persons accredited by the ICA or IRCA who independently verify compliance with the standard and submit their reports to the committee

MANAGEMENT

- 6 - Each site follows a preventive and regulatory maintenance plan and ensures that necessary repairs are made
- 7 - Safety at work is under control
- 8 - The sanitary control of the site is ensured
- 9 - The performance of the site is monitored
- 10 - Sustainable Development
- 11 - Quality management

PROCESS

- 12 - The reception process is under control
- 13 - The preparation process is under control
- 14 - The stock management process is under control
- 15 - The shipping process is under control





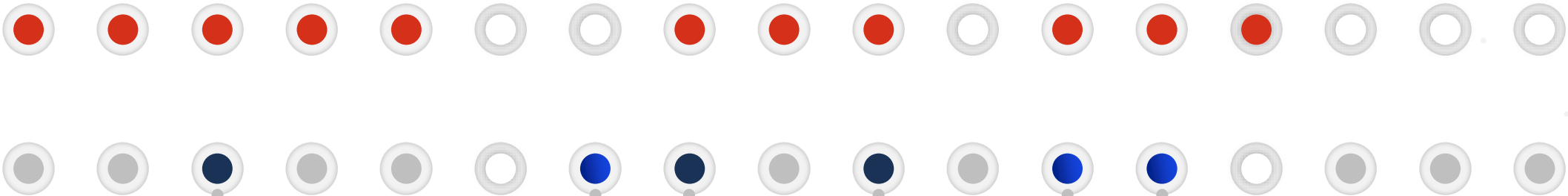
07

CSR COMMITMENTS

COMMON AMBITIONS, ALIGNED WITH THE UN SUSTAINABLE DEVELOPMENT GOALS



L'OCCITANE
EN PROVENCE



H&S at Work
Continue to improve health and safety key performance indicators and remain best in class in the logistics sector

Grow together
Promoting the integration of the most vulnerable vulnerable people

Energy
Reducing the energy footprint and increase the share of renewable energy in our energy mix

Take care of all
Valuing internal promotion and the acquisition of of skills

Waste
Reduce "the "waste footprint"

Carbon footprint
Reducing the carbon footprint

- Who we are
- What we do
- Contribution

STRONG CSR AMBITIONS FOR THE L'OCCITANE BUSINESS

TO REGISTER THE FUTURE SITE OF L'OCCITANE, ID LOGISTICS PROPOSES A CONCRETE CSR APPROACH



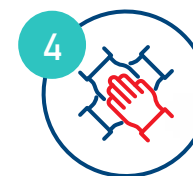
Levers for reducing
of the carbon footprint associated
with an offset solution for a
a carbon neutral site



Taking care of employees by making the
site a best in class in terms of **health
and safety**



Commitments to
**the inclusion of people
with disabilities**



The contribution of all
ID Logistics employees through
sponsorship

COMMITMENT TO SUSTAINABILITY

ECOVADIS RATING AND SUSTAINABILITY PERFORMANCE

ecovadis

Sustainability Highlights

ID LOGISTICS SAS (GROUP)

France | Warehousing and storage
Publication date: 17 Feb 2022
Valid until: 17 Feb 2023



64 / 100
89th
percentile

CERTIFICATIONS & ENDORSEMENTS

- ✓ At least one site is ISO 14001 certified
- ✓ Carbon disclosure project (CDP) respondent
- ✓ Global Compact Signatory

- IDL EcoVadis rating of 64/100
 - 89th percentile
- IDL commitment to CSR and Strategy
 - [CSR Report](#)
- IDL Annual Report, including detail on CSR, KPI's, and certification
 - [Annual Report](#)
- IDL Procurement CSR Charter to be signed by all Suppliers

SUSTAINABILITY PERFORMANCE OVERVIEW

Score breakdown

ID LOGISTICS SAS (GROUP) sustainability performance is:
Moderate

Sustainability performance

Insufficient

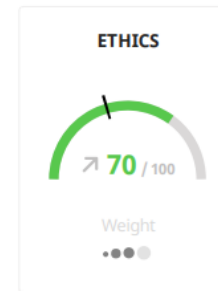
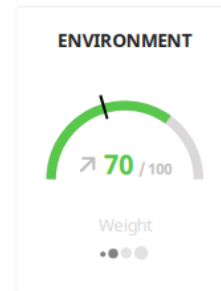
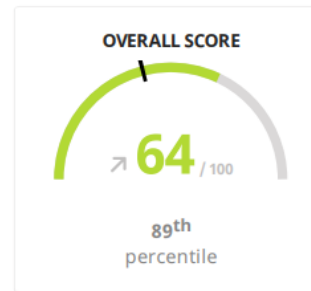
Partial

Moderate

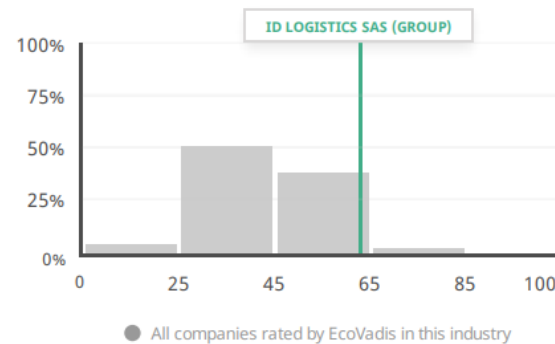
Advanced

Outstanding

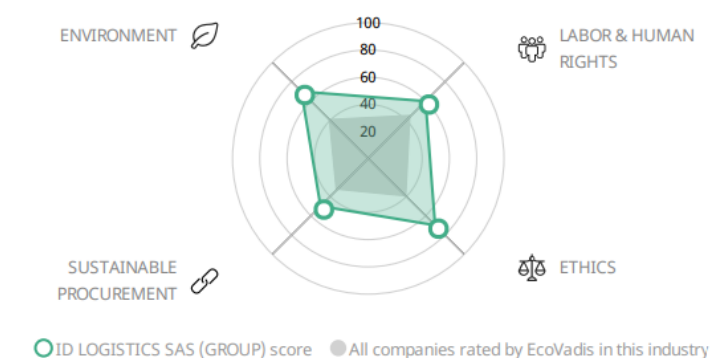
Average score



Overall score distribution



Theme score comparison





08

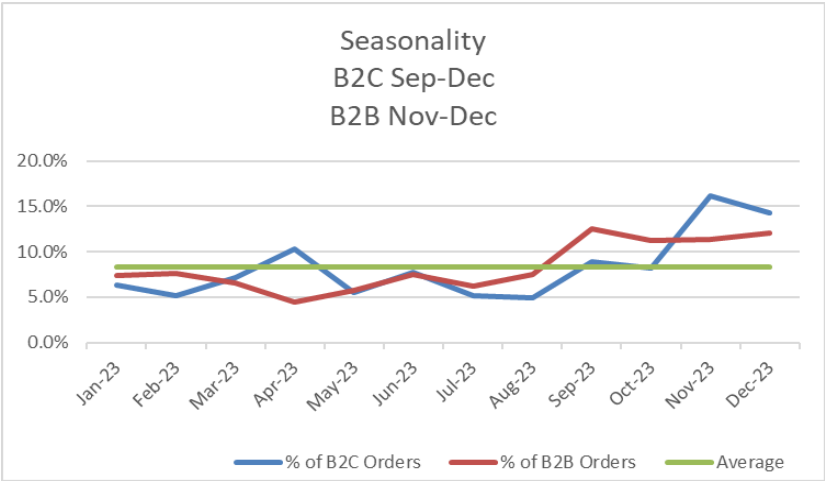
COMMERCIAL ASSUMPTIONS AND CONDITIONS

ASSUMPTIONS & CONDITIONS

Warehousing Opportunity Assessment		VAS Activity Assumptions	
Data Quality Assessment:	High Volume of Data No Item Master No Inventory Snapshot(s) Highest Risk: Assessment and Calculation of Hazardous Storage Blocks Incomplete	Data Quality Assessment:	Fair Limited Number of Sample Items Hour Data for Year 1 seems grossly overstated as it calculates to over 200 staff. Multiple Samples assessed with staff calcs in range not exceeding 60.
	Subject Matter Expertise from France Team leveraged in data analysis, staff projections, innovations, et. All.		
	Multiple Certs - EHS Manager and EHS/ QA Specialist Added to manage compliance and training.		
Physical Site Tour/ Product Knowledge:			
Quality Requirement(s)/ Certification(s)			

Data Set Analysis Details Driving Labor Activity & Productivity

L'Occitane, Elemis	Pareto from Sample Data / Volume Sku Count
LimeLife	24.3% SKUs/ 80% Activity
Sol De Janeiro	12.7% SKUs/ 80% Activity
	31.7% SKUs/ 80% of Activity



ASSUMPTIONS & CONDITIONS (continued)

Warehousing Priority / Critical Assumptions	Co-Packing Priority / Critical Assumptions
1. Subject Matter expertise and processes in place within "LIVE" operation/ proof source in all steps 2. Facility selection based on market research completed at time of RFP; building availability can not be guaranteed. 3. Tennant Improvements were not negotiated for any of the offered facilities and the cost above allowance within the base rent is not included in ID's response at this time. 4. Pricing response is based on provided data sets and assumes a co-located facility for all brands. 5. Capital in this response prior to go-live is in exceeds \$10M USD 6. Capital was depreciated on (5) year terms with the exception of racking at (10) years; the residual will require backing if the business is not renewed. 7. Capital for all items is based on available budgets from various vendors and is subject to final design. 8. Capital associated with the integration of Manhattan SCALE to L'Occitane was estimated based on RFP feedback; responses to Q&A; SME feedback. Discovery may result in additional resource and testing time increasing the integration capital. 9. Optional services related to Transportation are not included in ID Logistic's response in any manner. 10. Wages used for management and all hourly staff based on detailed survey's by ID's HR compensation manager. Year 2,3,4,5 included a 4% pay increase simply as a placeholder. ID can not guarantee this level. 11. Start-Up estimates represent the full staff level of all brands and a ramp-up that is undetermined. ID partners with all it's customers to manage start-up costs and spend and this cost is offered at no margin. 12. Initial Term of the contract is assumed at 5 years based on available lease terms. 13. Lead time on MHE is in excess of 52 weeks presently. Rentals will be required until equipment arrives. The cost of leases will not be charged during this gap. The cost of the rental equipment will charged as a pass through rate 14. Lead time on additional items is undetermined with the TIs, RACKING and B2B Parcel Mechanization all potentially at risk based on final design; business award and contractual work. 15. Shipping and pack supplies will be passed through at cost plus margin as incurred. 16. On demand tasks noted in price sheet will be passed at an accessorial rate to be confirmed by both parties. 17. Destruction work noted in price sheet will be passed at cost when vendors can be vetted fully. 18. Please note that the RACKING has 8'6" on center 42" uprights for 40x 48 pallets and 9' on center for Euro Pallets. Growth of Euro pallets was assumed to be at a higher level than 40x 48. 19. No Yard hostler services were included in the response. 20. An office for SECURITY is planned inside the facility. Guard cost based 2 shifts, only interior work, limited weekends. 21. Variable Staffing is the average annual but will be adjusted based on seasonality.	1. Staff analysis for 2023 estimated at 49.7 variable FTE. 2. Management, indirect, and MHE support staff based on ID analysis of staff and span of control metrics 3. Growth based on data set provided in Volume Projections scaling staff from ID baseline 4. Kitting Lines presented in the draft layout are for demonstrative purposes based on SME feedback. Tables, Gravity conveyance, some semi-auto tapers were included in the estimate to fit out this area. No specialized equipment for an specific item/ kit were included. 5. Kitting Operation is supported with full time ID personnel for line set-up; quality checks; with task work planned to use
* All pricing and solution offerings in IDL proposal are subject to approval from IDL Board of Directors before proceeding	
** ID Logistics offering is based on data analysis and assumptions on materials provided by L'Occitane and Q&A responses. Omissions or errors in the data or ID's assessment may result in revised pricing.	



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APPENDIX – CASE STUDIES

CASE STUDY - GUERLAIN

2

Cosmetics Business cases : supporting the growth and evolutions of our clients



Guerlain project support 2018 - 2025

Expectations

- Growth for E-commerce
- Improve the traceability
- Productivity

Answers

- New DC
- Automated processes



LOCALIZATION	-> Bévill-le-Comte (28)
WAREHOUSE SURFACE	-> 18,000 sqm
AVERAGE PEOPLE	-> 130 FTE

Former organization

Pick and pack process

Warehouse in Bévill



Future organization (2020)

Shuttle – Goods To Man process

New custom made Warehouse



Strong increase in productivity, Asian market new traceability needs and 10x growth expected for E-commerce

CASE STUDY - LVMH

2

Cosmetics Business cases : supporting the growth and evolutions of our clients



LVMH project support 2018 - 2020

Expectations

- **Improve the traceability**
- **Automation**

Answers

- **Same warehouse**
- **More flexible processes**



LOCALIZATION	-> Beauvais (60)
WAREHOUSE SURFACE	-> 20,000 sqm
AVERAGE PEOPLE	-> 100 FTE

Current organization

Pick and pack process



Future organization

New processes

-> BtoB picking



**Put to light trolleys
with real time
weight control**

-> E-commerce dispatch



**Put-to-light
apiaries**

Buffer exports



**Radio
Shuttle**

Accommodate a shift this the order profile, traceability needs and overall growth with cost reduction.

CASE STUDY – NESPRESSO USA



Start-up:
2012

Location

Tampa, FL

Surface

180K sq.ft.

SKU

> 2,000

Concept

Multi-Client

Labor

200 FTE

Storage

9500 PL Positions



Operation / Product Images



> 100M Units/annually
~ 10M Order Lines/annually
~ 1.9M Orders/annually

B2C
B2B

Receiving | Storage | Order Management | Transportation
Management | INV Management | Order Fulfillment |
Copacking | Reverse Logistics

- WMS: EDGE: Integrated OMS, WMS, TMS
- Pick to Light, Conveyor assisted

Coffee Products: sleeves, machines, accessories
Chocolates, Wine Accessories

